

Wynn Resorts, Ltd.

WYNN | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$153.00
Current price (October 2, 2026 close)	\$75.88
Implied upside / downside	+102%
Verdict	BUY

Investment Thesis

Wynn Resorts owns and operates the highest-quality luxury integrated resorts in the two largest gaming markets in the world -- Las Vegas and Macau -- plus Encore Boston Harbor, and it is building the first integrated resort in the United Arab Emirates. The investment case has two parts, and both are about cash flow inflection. First, the multi-year capital-expenditure wall -- the UAE resort at Wynn Al Marjan Island, the Encore Boston Harbor Enclave expansion, and the Macau reinvestment cycle -- is ending. As growth capex rolls off, free cash flow to equity inflects violently: roughly \$110 million in 2027, \$417 million in 2028, \$1,011 million in 2029, and then \$1.0 to \$2.3 billion annually. Markets are poor at pricing capex-to-cash-flow inflections in leveraged companies; the equity is valued on today's encumbered cash flow rather than on the unencumbered cash flow the asset base will produce.

Second, the UAE resort is a genuine growth asset that the market treats as an option with uncertain value. Our judgment is more constructive: Wynn Al Marjan Island will be the first licensed integrated gaming resort in the UAE, in a market with enormous high-end tourism demand and no competing supply, operated by the company with the best luxury resort execution record in the industry. We haircut management's contribution guidance substantially -- new-market ramp assumptions in gaming are chronically optimistic -- and the project still contributes meaningfully to our base case. The market appears to assign it roughly zero; we assign it the haircut value of a best-in-class operator opening a monopoly asset.

The Macau business, held through the separately listed Wynn Macau Ltd. with minority leakage to public holders, continues to compound on premium mass and direct VIP mix shift, and Las Vegas remains a high-margin cash generator with pricing power in luxury. Leverage is the real risk and we model it honestly: the bear case at \$52.08 assumes a delayed UAE opening combined with refinancing stress, and it sits well below the \$75.88 share price. But the base case at \$140.13 requires only that the capex wall ends on schedule and the existing assets perform as they have. Our \$153.00 target implies +102% upside on a probability-weighted basis, driven by the arithmetic of deleveraging: as debt is repaid from inflecting free cash flow, equity value accretes disproportionately. With 102.97 million diluted shares, each turn of deleveraging is worth roughly \$15 a

share in equity value.

Business Overview

Wynn Resorts, founded by Steve Wynn and led today by CEO Craig Billings, develops and operates luxury integrated resorts -- casino gaming combined with high-end hotels, restaurants, retail, and entertainment. The portfolio comprises Wynn Las Vegas and Encore Las Vegas on the Strip, Encore Boston Harbor in Massachusetts (opened 2019), and in Macau, Wynn Macau and Wynn Palace in Cotai, held through the Hong Kong-listed subsidiary Wynn Macau Ltd., of which Wynn Resorts owns approximately 72%, with the balance representing minority leakage from the parent shareholder's perspective. The development pipeline centers on Wynn Al Marjan Island in Ras Al Khaimah, UAE -- a multi-billion-dollar integrated resort under construction -- and the Enclave expansion project at Encore Boston Harbor.

The business model is high-fixed-cost, high-operating-leverage luxury hospitality: EBITDA margins in the 30-40% range at the property level when demand is healthy, with gaming -- particularly premium mass table play in Macau and high-end slot and table play in Las Vegas -- carrying the highest margins. Capital intensity is episodic but enormous: integrated resorts cost billions to build, which is why the end of the current investment cycle matters so much to the equity. The company has historically returned capital through dividends, suspended and reinstated across cycles, and the forward story is deleveraging first, distributions second.

Forward Outlook

Our forward view is organized around the construction timeline. Wynn Al Marjan Island is expected to open in 2027 as the UAE's first integrated gaming resort, licensed under the UAE's new commercial gaming regulatory framework. Our judgment: the demand side of this asset is underappreciated and the ramp side is overpromised, and we model it accordingly -- a slower ramp than management guidance, haircut contributions in the early years, but a large stabilized contribution because a luxury gaming monopoly in the Gulf has no natural demand ceiling in its first decade. Regulatory risk in a first-of-its-kind jurisdiction is real, but the licensing framework is established and construction is advanced; the remaining risk is timing, not existence, which is why our bear case delays the opening rather than canceling the project.

In Macau, we expect continued mix improvement toward premium mass -- the highest-margin segment -- as Wynn's luxury positioning captures the secular shift away from junket VIP. Market share in Macau is a knife fight among six operators, but Wynn's product is consistently the best-positioned for the premium customer, and we expect the Macau assets to grow EBITDA at a healthy clip with minimal incremental capital now that the reinvestment cycle is largely complete. Las Vegas is the stabilizer: high-margin, pricing-power luxury with convention and leisure demand that has proven resilient, and we model steady performance rather than growth heroics. Encore Boston Harbor's Enclave expansion adds capacity in a supply-constrained regional market.

The financial trajectory is the heart of the note. With growth capex ending, free cash flow to equity inflects from roughly \$110 million in 2027 to \$417 million in 2028 to \$1,011 million in 2029, then \$1.0 to \$2.3 billion annually -- and our forecasts haircut project contributions relative to management guidance at every step. That cash flow goes first to debt reduction: Wynn's leverage, incurred to fund the development pipeline, must come down before distributions can resume at scale. We model refinancing of near-term maturities at rates reflecting the company's leveraged profile, and we stress this in the bear case, where refinancing stress combined with a delayed UAE opening produces the \$52.08 value. In the base case, deleveraging proceeds mechanically and the equity -- all 102.97 million diluted shares of it -- captures the full benefit of the unencumbering asset base.

Valuation

We value Wynn on a scenario DCF of free cash flow to equity, which is the correct lens for a leveraged company approaching a capex inflection: enterprise-value approaches obscure the equity accretion from deleveraging. Project-level contributions are haircut versus management guidance in every scenario. The bear case (\$52.08, 14.5% discount rate, 1.0% terminal growth) assumes the UAE opening is delayed, refinancing comes at punitive terms, and Macau disappoints -- a genuinely adverse outcome well below the \$75.88 share price. The base case (\$140.13, 12.0% discount, 2.0% terminal growth) assumes the capex wall ends on schedule, the UAE ramps on our haircut timeline, and the existing assets perform. The bull case (\$277.74, 10.5% discount, 2.5% terminal growth) assumes the UAE becomes the highest-returning asset in the portfolio and Macau premium mass exceeds expectations.

Scenario	Discount rate	Terminal growth	Fair value per share
Bear -- delayed UAE, refinancing stress	14.5%	1.0%	\$52.08
Base -- capex wall ends on schedule	12.0%	2.0%	\$140.13
Bull -- UAE exceeds; Macau outperforms	10.5%	2.5%	\$277.74
Probability-weighted (25/50/25)	--	--	\$152.52

Our \$153.00 target rounds the probability-weighted fair value of \$152.52 and implies +102% upside. The valuation turns on the FCFE inflection -- approximately \$110 million in 2027, \$417 million in 2028, \$1,011 million in 2029, then \$1.0 to \$2.3 billion per year -- and on the mechanics of deleveraging, which accrete disproportionately to equity. Terminal value is held to 2.0% growth on normalized margins in the base case, below the company's historical peak profitability.

Key Risks

- UAE execution and timing: construction delays or a slower-than-modeled ramp would defer the cash-flow inflection the thesis depends on.
- Refinancing risk: leverage is elevated; punitive refinancing terms would divert cash flow from deleveraging to interest.
- Macau regulatory and concession risk: license conditions, table allocations, and government policy can change the earnings power of the Macau assets.
- Luxury cyclical: Wynn's premium positioning amplifies both upturns and downturns; a recession would hit high-end gaming and hospitality disproportionately.
- Construction cost overruns: large integrated-resort projects routinely exceed budgets; further overruns extend the capex wall.
- Minority leakage: the Wynn Macau Ltd. minority means parent shareholders capture only ~72% of Macau economics.
- Geopolitical risk: US-China tensions can affect Macau visitation and sentiment toward US operators in Macau.

What Would Change Our Mind

- A delay of the Wynn Al Marjan Island opening beyond 2028, or material curtailment of the project's scope.
- Refinancing executed at distressed terms, or a covenant waiver that signals lender concern.
- Sustained loss of premium-mass market share in Macau to competitors, indicating product or execution slippage.
- Growth capex guidance raised materially again, pushing the free-cash-flow inflection further out.
- A dividend-funded or debt-funded acquisition that re-levers the balance sheet before deleveraging is complete.

Valuation Approach

Our valuation is a probability-weighted scenario DCF of free cash flow to equity, weighted 25% / 50% / 25% across bear, base, and bull cases over an explicit 10-year horizon. Because Wynn is a leveraged company approaching a capital-expenditure inflection, scenario-specific discount rates reflect the capital structure: 12.0% in the base case, 14.5% in the bear case (+250bp for refinancing stress), 10.5% in the bull case. Terminal growth is capped at 2.0% in the base case on normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. The bear case is genuinely adverse and sits well below the current price. Management's project-contribution guidance is haircut in every scenario; it is independently tested, never accepted at face value.

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